Hyundai Department Store
(069960 KS)

Taiwan NDR takeaways, 3Q26 preview

Taiwan NDR: core biz solid, committed to enhancing corporate value

On Oct 1, we held an NDR with Hyundai Department Store for institutional investors in Taiwan. The NDR aimed to directly communicate with overseas investors regarding the firm's solid core business performance and commitment to enhancing corporate value. Investors focused on customer spending at department stores following the stock market correction, the sustainability of foreign customer sales, Zinus's path to improving profitability, and the potential for expanding shareholder returns. The company explained that department store growth remains solid despite a high base and that Zinus's recovery is progressing in line with guidance.

3Q26 preview: OP of W83.9bn likely to miss market consensus

We estimate 3Q26 revenue at W1.065tn (+5% YoY) and OP at W83.9bn (+15% YoY), with OP falling 11% short of consensus of W94.6bn. Despite the high base, foreign customer and VIP sales are expected to support department store earnings, with OP projected at W108.0bn (+21% YoY). Mid-single-digit growth is expected to continue in 4Q26. Duty-free OP is likely to come to just W3.0bn due to the summer low season, but a recovery is expected from 4Q26 as the opening of its store in Incheon Airport's DF2 zone establishes a profitable business structure centered on airport stores. We expect Zinus's operating loss to narrow to W17.0bn as promotional expenses normalize and Amazon orders resume, keeping its recovery on track with company guidance.

Maintain BUY; revise down target price to W120,000

We maintain BUY and revise down our target price to W120,000. Favorable department store business conditions should continue. However, we lower our target price as the higher revenue base since 4Q25 is likely to make double-digit revenue growth difficult to sustain. We apply a P/E of 8x to 12-month-forward EPS, referencing the average 12-month-forward P/E of Korea's three department store operators (Shinsegae, Hyundai Department Store, and Lotte Shopping) in 2H25.

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BUY (M)

Target price	W120,000 (Down)
Previous target price	W263,000
Current price (Oct 02)	W88,800
Upside potential	35%

Market cap (Wbn)	1,915
Shares outstanding	21,564,912
Avg daily T/O (2M, Wbn)	17
Avg daily volume (2M, shrs)	151,835
52-week high/low (won)	207,000 / 74,700
Foreign ownership (%)	25.01%
Dividend yield (%)	2.43%
Major shareholders	Hyundai GF Holdings & others

Stock performance

(%)	1M	3M	12M
Absolute	(4.2)	(52.3)	1.4
Relative	(10.2)	(47.9)	(48.6)
Abs (US$)	(2.9)	(45.1)	5.1

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Sales	4,188	4,230	4,276	4,500
OP	284	378	400	504
Net profit, CI	-36	208	245	341
P/E (x)	-31.6	7.8	7.9	5.6
P/B (x)	0.2	0.3	0.4	0.4
EV/EBITDA (x)	6.1	5.4	5.7	4.9
ROE (%)	-0.8	4.6	5.3	6.9

Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

Hyundai Department Store: earnings (Wbn, %)

	1Q25	2Q25	3Q25	4Q25	2025	1Q26	2Q26	3Q26E	4Q26E	2026E
Revenue	**1,098.1**	**1,080.3**	**1,010.3**	**1,041.7**	**4,230.3**	**950.1**	**1,068.1**	**1,065.0**	**1,193.0**	**4,276.1**
Department stores	589.0	590.1	576.8	681.8	2,437.7	632.5	643.8	610.0	700.0	2,586.3
Duty-free	293.5	293.5	222.5	204.5	1,014.0	213.7	310.4	330.0	370.0	1,224.1
Zinus	249.9	229.5	241.7	192.1	913.2	139.6	147.5	160.0	160.0	607.1
Revenue growth YoY	***15***	***6***	***-3***	***-11***	***1***	***-13***	***-1***	***5***	***15***	***1***
Department stores	*-1*	*-4*	*1*	*3*	*0*	*7*	*9*	*6*	*3*	*7*
Duty-free	*22*	*22*	*-2*	*-22*	*4*	*-27*	*6*	*48*	*81*	*22*
Zinus	*64*	*11*	*-11*	*-34*	*-1*	*-44*	*-36*	*-34*	*-17*	*-37*
OP	**112.5**	**86.9**	**72.6**	**106.2**	**378.2**	**98.8**	**79.3**	**83.9**	**137.9**	**399.9**
Department stores	97.2	69.0	89.3	137.7	393.5	135.8	110.1	108.0	150.0	503.9
Duty-free	-1.9	-1.3	1.3	2.1	0.2	3.4	6.2	3.0	5.0	17.6
Zinus	27.5	29.1	-7.8	-23.2	25.8	-30.1	-26.7	-17.0	-7.0	-80.8
PPA amortization	-10.1	-10.1	-10.1	-10.1	-40.3	-10.1	-10.1	-10.1	-10.1	-40.4

Source: company data, Yuanta Securities

Hyundai Department Store: earnings forecast revision (Wbn, %, %p)

	Old			New			Difference		
	3Q26E	2026E	2027E	3Q26E	2026E	2027E	3Q26E	2026E	2027E
Revenue	1,038.0	4,153.1	4,500.0	1,065.0	4,276.1	4,500.0	*2.6%*	*3.0%*	*0.0%*
OP	111.0	456.6	520.0	83.9	399.9	503.6	*-24.4%*	*-12.4%*	*-3.2%*
OPM	*10.7%*	*11.0%*	*11.6%*	*7.9%*	*9.4%*	*11.2%*	*-2.8%*	*-1.6%*	*-0.4%*

Source: Yuanta Securities

Hyundai Department Store: TP calculation using P/E multiple

	2026E	2027E	Note
Net profit, CI (Wbn)	245.0	340.6	
Shares issued ('000 shares)	21,330	21,330	Common shares outstanding at year-end, excluding treasury
EPS (won)	11,485	15,966	12-month-forward EPS
Fair P/E (x)	8	8	
Fair price (won)	91,881	127,725	W120,000
Upside (%)	3	44	35%

Source: Yuanta Securities

3Q26 preview

We forecast 3Q26 revenue at W1.065tn (+5% YoY) and OP at W83.9bn (+15% YoY), with OP falling 11% short of consensus of W94.6bn.

1) Department stores: We forecast 3Q26 net sales at W610.0bn (+6% YoY) and OP at W108.0bn (+21% YoY). Gross revenue growth should reach 8–9% in 3Q26. The slowdown from 2Q26 reflects a higher prior-year base. Underlying performance adjusted for base effect remains similar to 1H26. Growth moderated as July's sharp stock market decline weakened the wealth effect that had supported spending in 1H26, but fashion sales returned to double-digit growth in September. Continued strong YoY growth in foreign customer and VIP sales, estimated to account for 40% of sales, supported earnings. Mid-single-digit growth is expected in 4Q26 against a high base, with year-end bonuses and luxury goods price hikes providing further upside.

2) Duty-free: We forecast 3Q26 revenue at W330.0bn (+48% YoY) and OP at W3.0bn, versus W1.3bn in 3Q25. Revenue is expected to increase following its DF2 store opening. However, cosmetics sales likely slowed as daigou demand weakened during the summer low season, causing OP to drop from W6.2bn in 2Q26. However, the company became the top operator at Incheon International Airport by opening the DF2 store, and with the sales contribution of the airport store rising to 50%, a profitable structure based on low rental fees has firmly settled. Higher cosmetics buying power has unlocked superior supply terms from brands, effectively reducing operating losses at downtown branches. We expect both sales and OP to rise QoQ in 4Q26. The firm targets a quarterly OP of W10bn next year.

3) Zinus: Zinus likely posted 3Q26 revenue of W160bn (-34% YoY) and an operating loss W17bn (-W26.7bn in 2Q26, -W7.8bn in 3Q25). Promotional expenses executed in 2Q26 to reduce inventory are normalizing, while Zinus's inventory on Amazon, which reached 32 weeks at the beginning of the year, decreased to 4-5 weeks following 2Q26 promotions, leading to a resumption of new orders that had been previously suspended on Amazon. This trend is in line with the company's guidance (W10bn operating loss in 3Q26, further loss reduction in 4Q26). The company aims to reduce fixed expenses by W50bn by the end of 2027, and achieve an annual OP of W40-50bn in 2028.

Q&As

Q. Are the wealth effect and performance incentives from the stock market rally translating into department store consumption?

A. The impact was clearly confirmed in May, when discussions on performance bonuses were active, as the growth rates of stores located near semiconductor firms significantly outperformed the company-wide average.

As luxury consumption is concentrated in department stores in Korea, department stores directly benefit from the wealth effect. While growth temporarily slowed during the stock market correction in July, spending by VIP customers, who account for 40% of revenue, has been maintained, supporting earnings.

Q. What is the outlook for the high base burden next year due to strong growth this year and for mid- to long-term growth?

A. This year was an exceptional one, with favorable conditions across gold prices, forex, foreign inbound tourists, and the stock market. For 1H27, a low- to mid-single digit growth rate seems realistic. However, stable sales from foreigners and VIPs, along with the opening of one new store annually starting late next year, will likely offset the base effect burden.

Q. What is the rationale for opening three new stores and what is the investment burden?

A. We are concentrating investment on larger stores, as their ROI is substantially higher than smaller ones. All three new stores will open in regions where we previously lacked a large-format presence (Busan, near Daegu, Gwangju), and we are the only firm with concrete plans for large-scale store openings among the three major department stores. Annual capex will be larger than usual through 2029, but we believe our financial structure is sound.

Q. Is sales growth being driven by foot traffic or average ticket size?

A. The impact of higher average ticket size is bigger, but foot traffic is also steadily increasing. Foreign tourists are major contributors to the rise in foot traffic, and there remains pent-up demand for luxury goods due to inventory shortages.

Q. Are corporate value enhancement efforts a result of government policies?

A. We are receiving “Value-up” recommendations from the government, but compliance is ultimately a corporate choice. Corporate value enhancement is a critical mandate. Following the transition to a holdco structure, IR and shareholder return policies have been reinforced at the group level.

Q. Zinus’s competitivenes, the impact of tariffs, and outlook for earnings improvement?

A. After raising prices to reflect the impact of tariffs, Zinus lost market share to competitors that kept prices flat. However, the gap narrowed this year as competitors also raised prices. The primary production hubs are Indonesia and Cambodia, which offer lower production costs than the US even when factoring in tariffs. We plan to improve earnings based on fixed cost reductions, rather than a recovery in sales, and aim to complete restructuring by the end of 2027.

Hyundai Department Store (069960 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**4,188**	**4,230**	**4,276**	**4,500**	**4,650**
Cost of sales	1,722	1,680	1,560	1,625	1,665
Gross profit	2,465	2,550	2,716	2,875	2,985
SG&A	2,181	2,172	2,316	2,371	2,446
Operating profit	**284**	**378**	**400**	**504**	**539**
EBITDA	712	812	834	937	972
Non-operating profit	-278	-255	-70	-60	-50
Forex gains	24	-6	-5	-6	-7
Net interest income	-49	-43	-38	-36	-29
Equity-method gains	25	5	4	5	8
Other	-278	-210	-31	-23	-21
Net prof before income tax	6	123	330	444	489
Income tax	7	-18	100	116	125
Net profit from continuing ops	-1	142	230	328	364
Net profit from discontinued ops	0	0	0	0	0
Net profit	-1	142	230	328	364
NP for controlling interest	**-36**	**208**	**245**	**341**	**375**
Total comprehensive income	22	154	242	340	376
Total comprehensive income, CI	-48	222	349	490	542

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**3,046**	**3,082**	**3,026**	**3,247**	**3,432**
Cash & cash equivalents	126	280	207	345	473
Accounts receivables & other	1,113	923	933	982	1,015
Inventory	617	456	461	485	501
Non-current assets	8,172	8,168	8,405	8,571	8,755
Tangible assets	5,790	5,984	6,284	6,580	6,823
Investment in affiliates	86	88	89	94	97
Other investment assets	242	269	270	202	205
Total assets	**11,218**	**11,250**	**11,431**	**11,818**	**12,187**
Current liabilities	3,288	3,734	3,757	3,872	3,949
Accounts payable & other	1,355	1,341	1,355	1,426	1,474
ST financial liabilities	359	596	596	596	596
Liquid LT liabilities	556	637	637	637	637
Non-current liabilities	1,695	1,205	1,167	1,145	1,108
LT financial liabilities	211	65	25	15	5
Debentures	519	289	289	289	289
Total liabilities	**4,983**	**4,939**	**4,924**	**5,017**	**5,057**
Equity, controlling interest	4,395	4,550	4,761	5,068	5,408
Paid-in capital	117	117	117	117	117
Capital surplus	612	612	612	612	612
Retained earnings	3,754	3,920	4,119	4,414	4,743
Equity, non-controlling interest	1,839	1,761	1,746	1,733	1,722
Total equity	**6,234**	**6,311**	**6,507**	**6,801**	**7,131**
Net debt	**1,349**	**1,042**	**1,075**	**904**	**729**
Total debt	2,441	2,559	2,519	2,486	2,441

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**734**	**986**	**921**	**972**	**1,025**
Net profit	-1	142	230	328	364
Depreciation & amortization	360	368	368	368	368
Forex gains	-15	4	5	6	7
Affiliate investment gains	0	0	-4	-5	-8
Increase in net working cap	90	295	-16	-63	-44
Other	299	177	338	338	338
Investing cash flow	**-193**	**-693**	**-496**	**-425**	**-443**
Investment	200	-305	-3	64	-6
Increase in tangible assets	-475	-579	-700	-700	-650
Decrease in tangible assets	41	13	32	36	38
Other	41	179	175	175	175
Financing cash flow	**-586**	**-138**	**-313**	**-305**	**-317**
ST financial liabilities	-567	261	2	7	5
Debenture/LT financial liabilities	157	-143	-42	-40	-50
Equity	0	0	0	0	0
Cash dividend	-38	-51	-46	-46	-46
Other cash flow	-138	-205	-226	-226	-226
Consolidation adj and other	6	-2	-186	-104	-136
Increase in cash & equivalents	**-38**	**154**	**-73**	**138**	**129**
Beginning cash & equivalents	164	126	280	207	345
Ending cash & equivalents	126	280	207	345	473
NOPLAT	284	434	**400**	**504**	**539**
FCF	**259**	**407**	**221**	**272**	**375**

Valuation

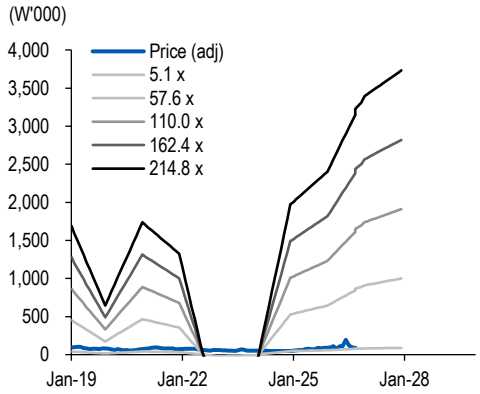
FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	-1,543	9,177	11,184	15,793	17,371
BPS (won)	201,113	210,969	223,167	237,552	253,532
EBITDA/shr (won)	30,575	35,876	38,062	43,473	45,096
SPS (won)	179,718	186,944	195,203	208,672	215,628
DPS (won)	1,400	2,150	2,150	2,150	2,150
P/E (x)	**-31.6**	**7.8**	**7.9**	**5.6**	**5.1**
P/B (x)	**0.2**	**0.3**	**0.4**	**0.4**	**0.4**
EV/EBITDA (x)	**6.1**	**5.4**	**5.7**	**4.9**	**4.5**
P/S (x)	**0.3**	**0.4**	**0.5**	**0.4**	**0.4**

Key financial data

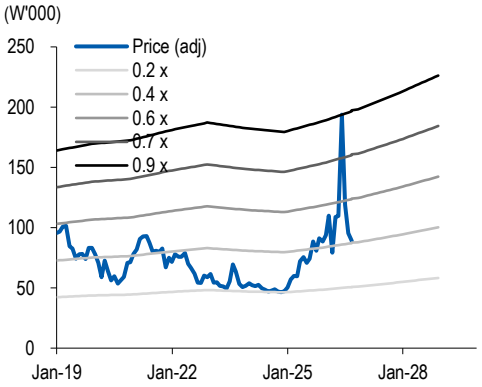
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**-0.5**	**1.0**	**1.1**	**5.2**	**3.3**
Operating profit (%YoY)	**-6.4**	**33.1**	**5.8**	**25.9**	**6.9**
Net profit, CI (%YoY)	**RR**	**TTB**	**18.0**	**39.0**	**10.0**
Gross margin (%)	58.9	60.3	63.5	63.9	64.2
Operating margin (%)	**6.8**	**8.9**	**9.4**	**11.2**	**11.6**
Net margin, CI (%)	-0.9	4.9	5.7	7.6	8.1
EBITDA margin (%)	17.0	19.2	19.5	20.8	20.9
ROIC (%)	-0.5	6.5	4.3	5.7	5.9
ROA (%)	-0.3	1.8	2.2	2.9	3.1
ROE (%)	**-0.8**	**4.6**	**5.3**	**6.9**	**7.2**
Debt-to-equity (%)	79.9	78.3	75.7	73.8	70.9
Net debt-to-equity (%)	30.7	22.9	22.6	17.8	13.5
OP/financing cost (x)	2.8	4.1	4.3	5.5	5.9

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

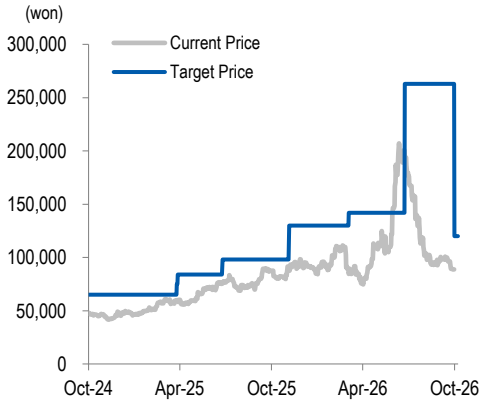
P/E band chart



P/B band chart



Hyundai Department Store (069960 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/10/06	BUY	120,000	1 yr		
2026/06/29	BUY	263,000	1 yr	-55.21	-26.24
2026/03/09	BUY	142,000	1 yr	-18.50	45.77
2025/11/10	BUY	130,000	1 yr	-26.94	-14.23
2025/06/30	BUY	98,000	1 yr	-19.74	-6.73
2025/04/02	BUY	84,000	1 yr	-22.08	-8.57
2025/03/31	BUY	75,000	1 yr	-20.93	-20.93
2024/05/16	BUY	65,000	1 yr	-24.70	-6.15

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.9
HOLD	3.1
SELL	0
Total	100.0

Note: As of Oct 06, 2026 Excluding reports written or published by overseas affiliates

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- **Stock ratings** include an Investment Rating (Strong Buy, Buy, Hold, Sell) based on the expected absolute return of a stock over the next 6 -12 months.
- **- Strong Buy:** Expected to return 30% or more
  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
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  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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